From: Yardeni QuickTakes <yardeni-research@ghost.io>
Subject: US SECTORS CALL: Communication Services, Materials & Energy
Date: 7 hours ago

US SECTORS CALL: Communication Services, Materials & Energy

YARDENI QUICKTAKES

US SECTORS CALL: Communication Services, Materials & Energy

By Ed Yardeni & Toby Hearst • 25 Oct 2026

View in browser



Photo by Noah Klassen / Unsplash

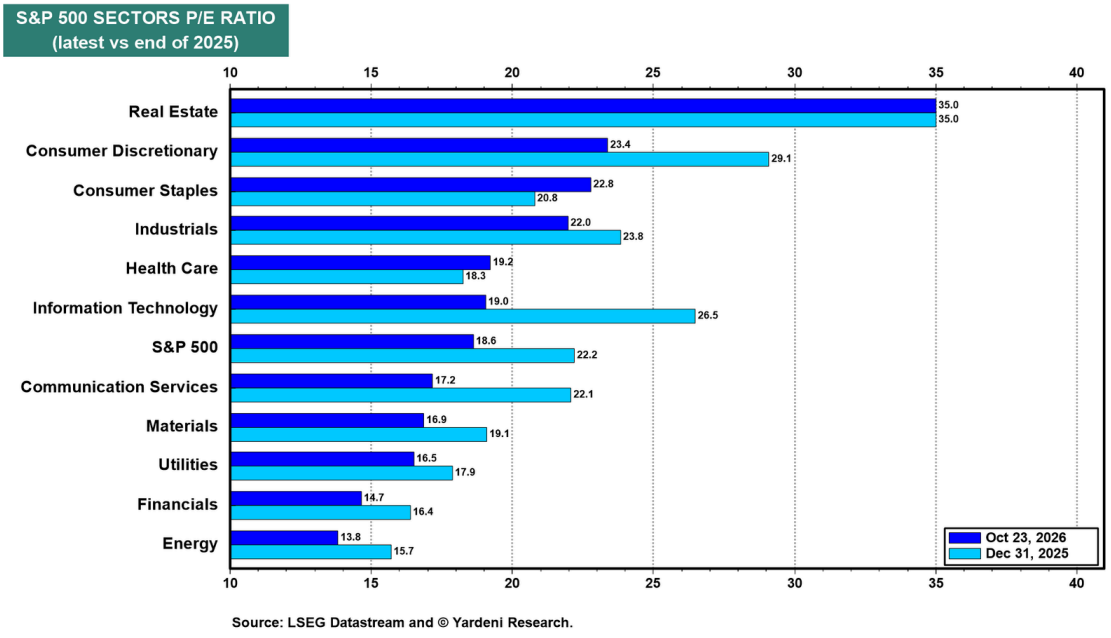
YRI S&P 500 SECTORS WEIGHTING RECOMMENDATIONS* (Oct 23, 2026)				
S&P 500 Sectors	Weight Recommendation	Week-to-Date	Month-to-Date	Year-to-Date
S&P 500		-0.5	-0.4	11.4
Communication Services	MW	-6.2	-7.3	-3.7
Consumer Discretionary	UW	0.5	2.9	-3.6
Consumer Staples	UW	0.5	9.6	14.1
Energy	OW	1.6	12.8	55.1
Financials	OW	0.7	4.7	2.0
Health Care	OW	1.5	6.4	15.7
Industrials	OW	-1.9	-1.4	6.1
Information Technology	MW	-0.3	-5.1	21.3
Materials	OW	-0.1	4.4	12.3
Real Estate	UW	0.9	3.6	6.4
Utilities	MW	0.8	7.9	-0.3

Source: LSEG Datastreamand © Yardeni Research.

* OW = overweight, MW = market weight, and UW = underweight.

Investors spent the week worrying about an AI bubble. The S&P 500 slipped by 0.5%, led by a 6.2% drop in Communication Services (MW), which was the worst-performing S&P 500 sector (table). Yet, Information Technology fell just 0.3%. Energy (OW) led the winning sectors with a 1.6% gain, followed by Health Care (OW), up 1.5%.

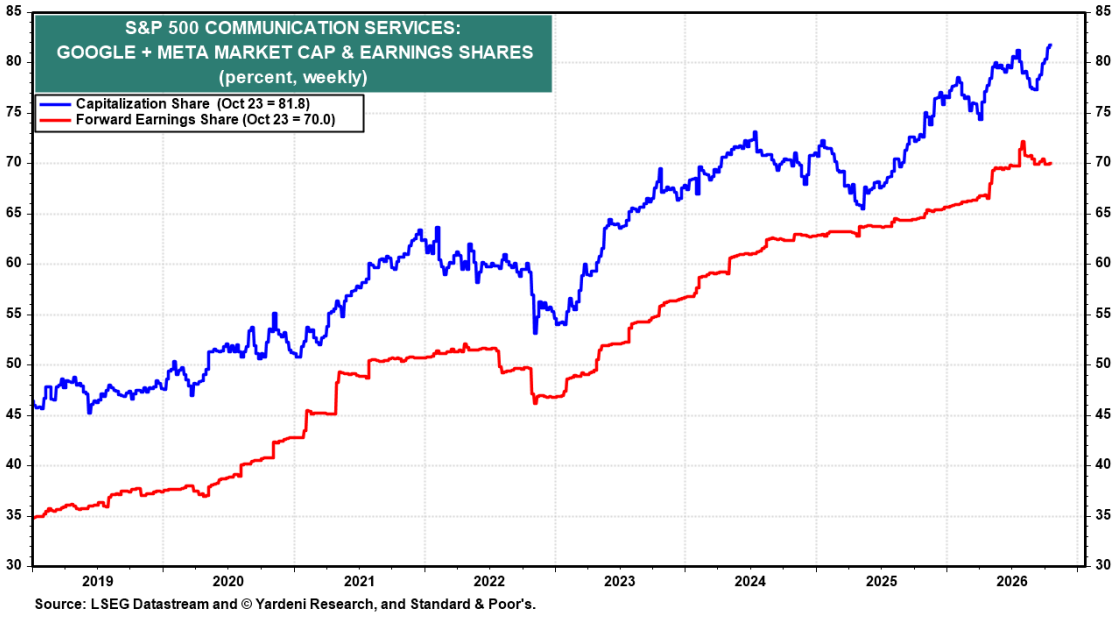
Bubbles inflate valuation multiples. This year, multiples have contracted. The S&P 500's forward P/E has fallen to 18.6 from 22.2 at the end of 2025 (chart). Information Technology's forward P/E is down to 19.0 from 26.5. Stocks have gotten cheaper this year as earnings growth outpaced stock price gains.



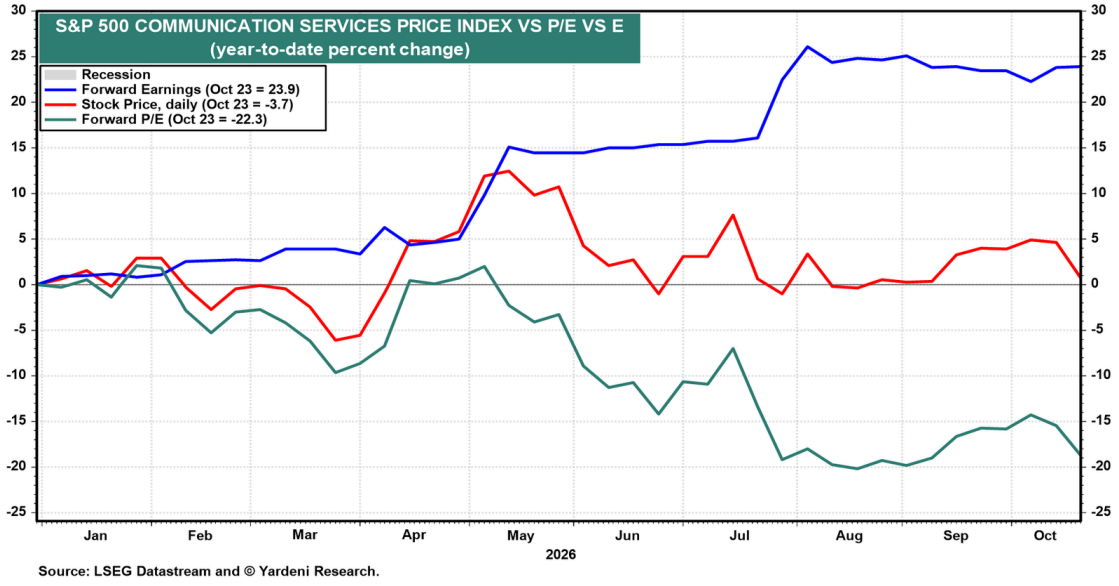
Source: LSEG Datastream and © Yardeni Research.

Here's more on the Communication Services, Materials, and Energy sectors:

(1) Communication Services. Meta's Q3 report last Wednesday hit the sector hard. Its free cash flow turned negative for the first time since its 2012 IPO, and it raised its 2026 capex guidance floor to $135 billion. Its shares fell 7.0% and Interactive Media & Services fell 4.3% on Thursday, closing down 7.0% for the week. Alphabet and Meta dominate the sector. Together they account for 81.8% of its market cap and 70.0% of its forward earnings (chart).

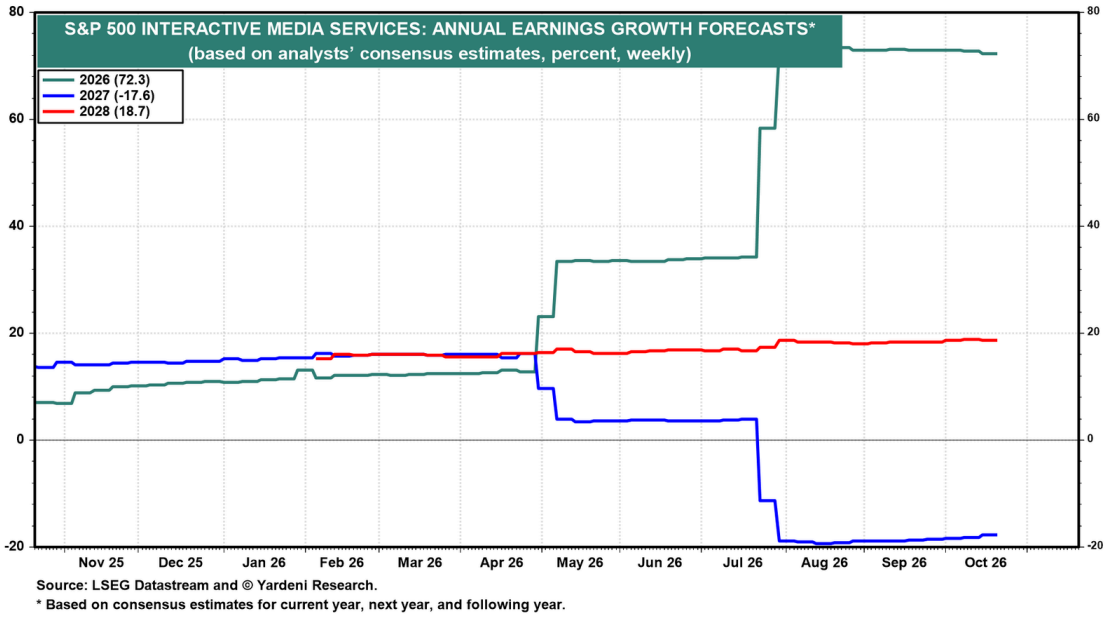


The sector's forward earnings is up 23.9% ytd, while its stock price index is down 2.3% (chart). Its forward P/E has dropped to 17.2 from 22.1 at the start of the year. That puts it below the S&P 500's 18.6.



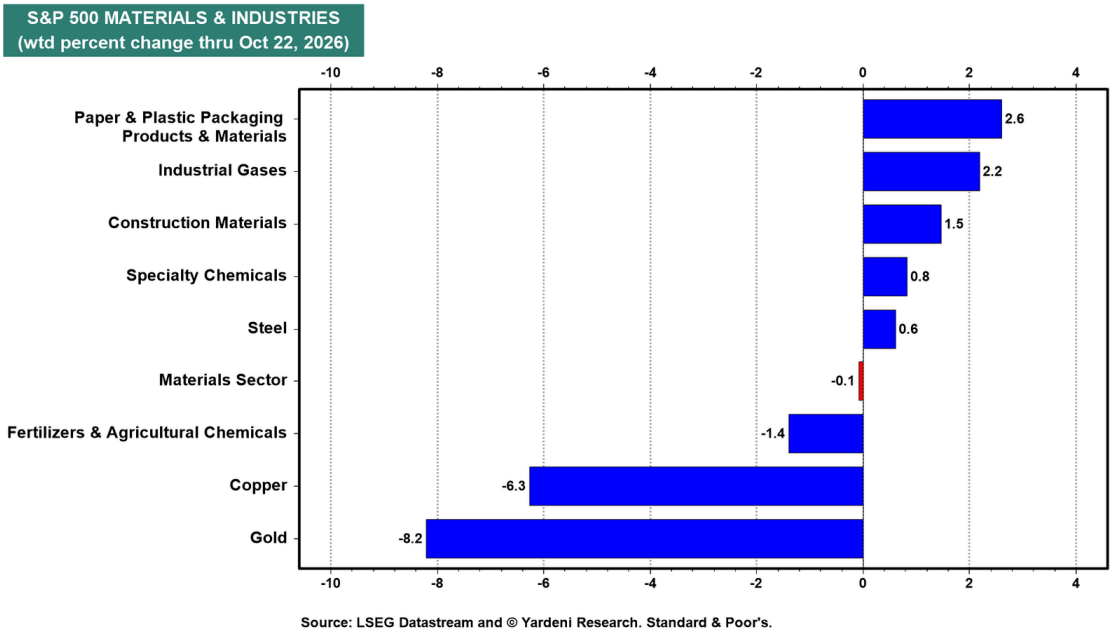
Analysts expect earnings at Interactive Media & Services, the sector's largest industry, to rise 72.3% this year, then fall 17.6% in 2027 (chart). Yet they expect its revenues to grow 25.0% and 22.8% over the same two

years. Unrealized gains on Alphabet's stakes in private AI companies, including Anthropic, inflated this year's earnings.



The de-rating isn't limited to AI. Netflix, which accounts for more than half of Movies & Entertainment's market cap, reported Q3 results on Tuesday. It cut its ad revenue outlook and guided Q4 earnings below expectations. Its stock is now down 51% from its mid-2025 record high.

(2) Materials. Materials slipped 0.1% this week. Gold and Copper were the sector's worst-performing industries, down 8.2% and 6.3% (chart). Copper stocks fell along with the AI trade on Thursday.

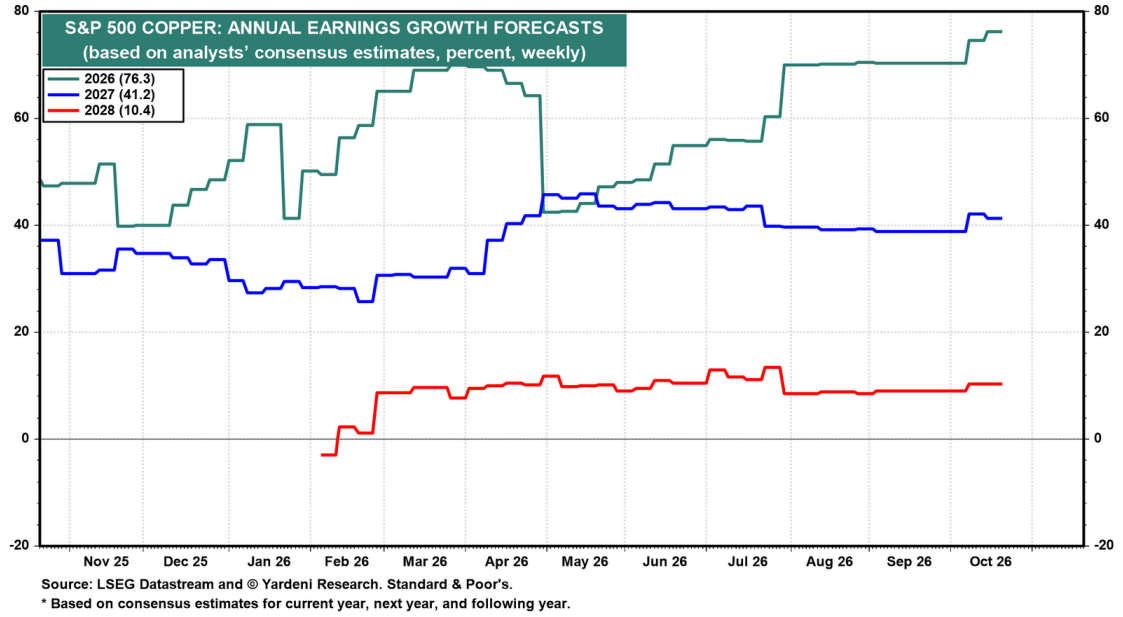


Copper futures also fell slightly last week, ending at $6.48 per pound. The AI selloff hit industrial metals on Thursday, but copper rebounded on Friday. Rising inventories also weighed on the red metal last week.

Copper flowed back into London Metal Exchange warehouses, where inventories rose to their highest since July. Traders spent the year shipping copper to the US ahead of potential tariffs. The US price premium that drove those flows has turned into a discount. Copper remains near the top of an uptrend channel that began in 2016 (chart).

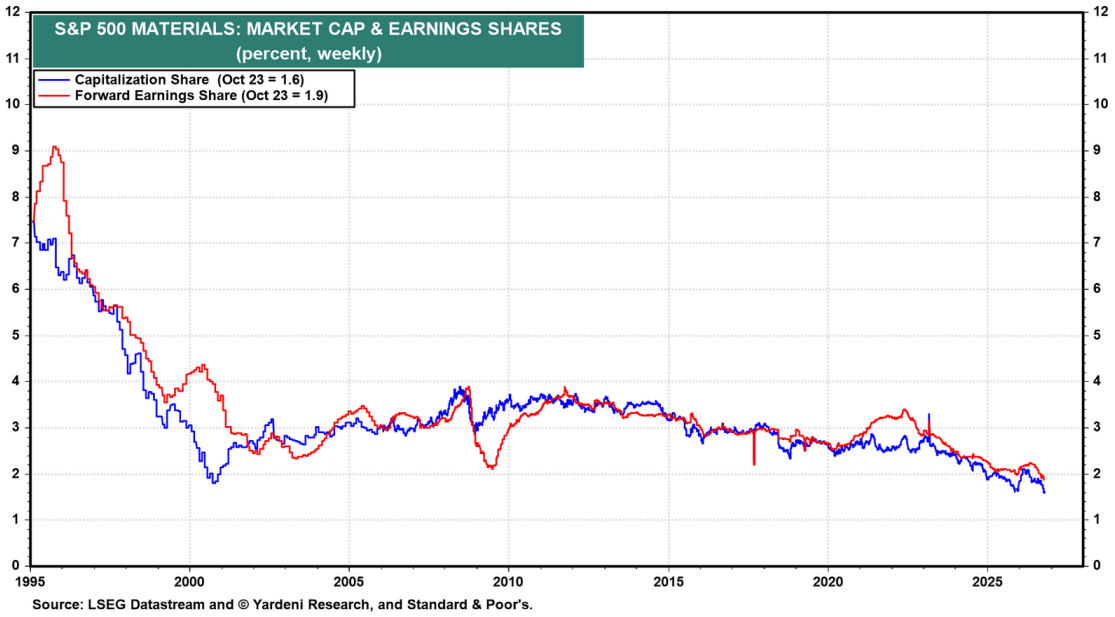


Forecasts have copper earnings rising 76.3% this year and 41.2% in 2027. The forward profit margin is up to 17.1%, the highest since 2022, yet the forward P/E has dropped to 16.4. The selloff hit stock prices, not earnings estimates.

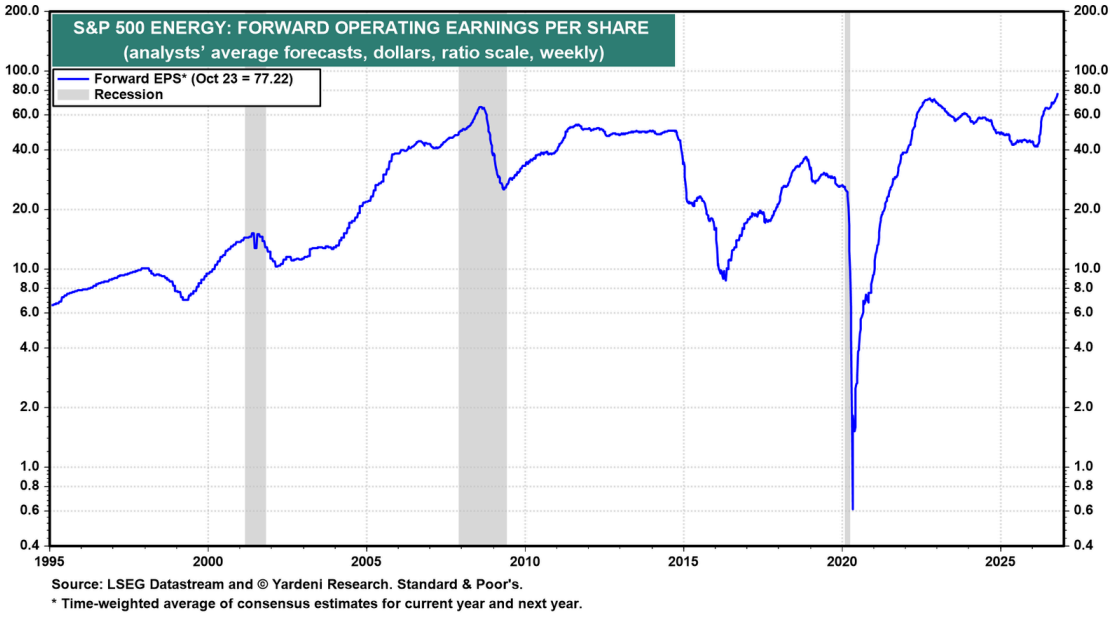


Analysts expect Materials earnings to rise 40.2% this year and 11.8% in 2027. Materials accounts for just 1.9% of S&P 500 forward earnings and only 1.6% of its market cap, the smallest share in over 30 years (chart).

We remain overweight. Materials offers rising earnings at a shrinking multiple.



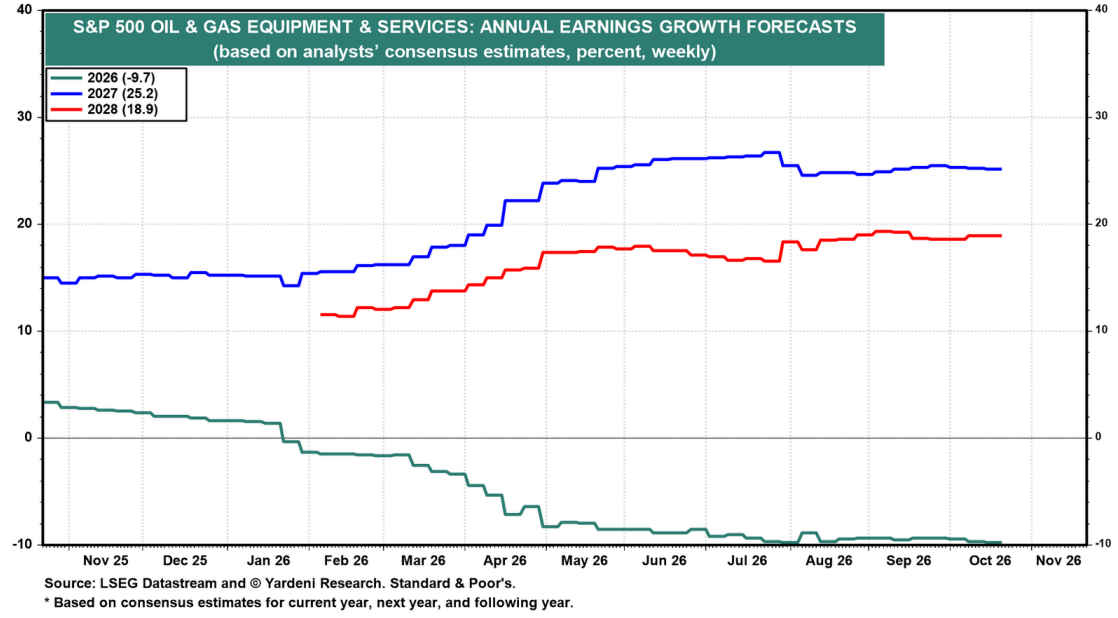
(3) Energy. Energy is up 55.1% ytd, the best-performing sector. Its forward earnings has risen even faster, up 76.5% ytd to a record high (chart). Energy still has the lowest forward P/E of the 11 sectors, at 13.8, down from 15.7 at the start of the year.



Analysts see 2026 as the peak. They expect sector earnings to rise 101.9% this year, then fall 8.0% in 2027. Refining & Marketing shows this most clearly. Its forward profit margin has soared to a record 9.0% (chart). Its forward P/E is 9.0, with earnings forecast to fall 11.0% in 2027.



Oil & Gas Equipment & Services is the exception. Analysts expect its earnings to fall 9.7% this year, then rise 25.2% in 2027 and 18.9% in 2028 (chart).



Consensus estimates assume the oil premium fades, and we expect it will eventually. Renewed strikes on Iran after the midterms, which the US and Israel reportedly have planned, would challenge the fading-premium assumption. At only 3.7% of the S&P 500's market cap and a forward P/E of 13.8, Energy is a cheap hedge against more geopolitical turmoil.

💡

Join the discussion with Ed below! To leave comments or questions, log in to the Yardeni QuickTakes website and post them at the end

of the QuickTakes article. Paid members' contributions may be featured in our segment, "Ed Answers Your Questions".



More like this



Less like this



Comment

Copyright (c) Yardeni Research, Inc. Please read complete *copyright and hedge clause*.

Yardeni QuickTakes © 2026 – Unsubscribe